AZZURO RESOURCES PLC

Risk Management Policy

Last updated | June 2026

Overview

Risk management is a complex and critical component of the Company's governance. The Board will oversee and guide the detail of risk management. The CEO is charged with implementing appropriate risk systems within the Company. Aspects of this process may be delegated. Risk management is considered a key governance and management process. It is not an exercise merely to ensure regulatory compliance.

Primary Objectives

Therefore, the primary objectives of the risk management system at the Company are to ensure:

- all major sources of potential opportunity for and harm to the Company (both existing and potential) are identified, analysed and treated appropriately;
- business decisions throughout the Company appropriately balance the risk and reward trade off;
- regulatory compliance and integrity in reporting are achieved; and
- senior management, the Board and investors understand the risk profile of the Company.

Scope

In line with these objectives, the Company's risk management system covers:

- operations risk;
- financial reporting; and
- compliance.

Review Process

The Board reviews all major strategies, transactions and corporate actions for their impact on the risk facing the Company and makes appropriate recommendations. The Company also undertakes an annual review of operations to update its risk profile. This normally occurs in conjunction with the strategic planning process. The Company discloses in each reporting period that such a review has taken place. The Board undertakes a quarterly review of those areas of risk identified.

In addition, as specified by Recommendation 4.2 of the ASX Corporate Governance Council's Corporate Governance Principles and Recommendations, the Executive Director and CFO conduct a review and provide a written declaration of assurance that their opinion, that the financial records of the Company for any financial period have been properly maintained, comply with the appropriate accounting standards and give a true and fair view of the financial position and performance of the Company, has been formed on the basis of a sound system of risk management and internal control which is operating effectively.

Key Identified Risks

The Board of the Company has identified a range of specific risks that have the potential to have an adverse impact on its business. These include:

- operational risk;
- environmental risks;
- insurance risk;
- litigation risks;

- financial risk;
- privacy and data breach risks;
- conduct risks;
- cyber-security risks;
- sustainability and climate change risks;
- treasury and finance risks; and
- compliance risk.